

oil prices had begun climbing after Iraq's invasion of Kuwait. Logically, costlier crude meant a higher import bill for the country and a strain on its already measly foreign exchange reserves, and should have been seen as a negative sign by the markets.

Harshad's scale of activity had increased considerably by then, and the big moves in stocks like ACC, Apollo Tyres, Gujarat Ambuja, Tata Tea and SPIC were being attributed entirely to him. It would be some more months before he attained cult status in the stock market and even beyond – on a level that has not been seen since with anybody else on the stock exchange – but he was already well on his way to becoming the first superstar of Dalal Street.

What many in the stock market did not know was that Harshad had by then risen to become a powerful broker in the money market too. In becoming so, he had broken the stranglehold on the business that established players like the Ajay Kayan-owned Smifs Mackertich, the Hemendra Kothari-controlled DS Purbhoodas and Bhupen Dalal's CIFCO.

Harshad had begun his career in the financial market in the early 1980s as a jobber in stocks and had done well enough to acquire a membership on BSE by 1984. Three years later, he ventured into the money market, hoping to replicate his success in the stock market. While one could rise from a lowly jobber to a broker in the stock market, breaking into the money market was a much tougher proposition.

There is an apocryphal tale about what spurred Harshad to dive into the money market. I heard it from Sharma some years later when we were reminiscing about the old times over a drink. Harshad was at the office of a broker friend. A fairly important money market broker happened to be there too. When this broker got talking about the market, Harshad got a bit curious and asked for elaboration on something. The broker apparently turned to Harshad and told him, 'This is way beyond your league, you'd better stick to the stock market,' or something to that effect. That pricked Harshad's ego, enough to set him aching to prove that he could be as good in the money market as he was in the trading ring on Dalal Street.

Harshad's first year as a money market broker was a disaster. It took him almost six months to crack his first deal and that earned him a paltry Rs 5,500 as commission, net of stamp duty. The next six months were nothing to write home about either. Anybody else in his place might have given up